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Mercedes Cardona

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Yale Program on Financial Stability
Lessons Learned

Grahame Johnson

By Mercedes Cardona

Grahame Johnson was named managing director of financial stability at the Bank of Canada in November 2019, just months before the outbreak of the COVID-19 pandemic, and became adviser to the governor in 2021. The Bank of Canada responded to the economic effect of the pandemic by launching 10 liquidity facilities—nine of them never attempted before—to repurchase securities such as government and corporate bonds, bank acceptances, and commercial paper. The measures were largely successful, and nine of the 10 facilities were unwound by 2022. The tenth, the Government of Canada Bond Purchase Program (GBPP), transitioned into a quantitative easing program and remains in operation as a monetary policy tool. This Lesson Learned is based on an interview held in April 2023; the full transcript may be found here.

When tackling a systemic crisis, policymakers should act aggressively early.

The onset of the COVID-19 pandemic was swift and global. Johnson remembers watching news of the spreading outbreak while on a Caribbean cruise in February 2020. By the time he got home mid-month, the Bank of Canada was already preparing to put contingency plans in motion.

Among the initial concerns around the COVID lockdown was the fear that businesses and households would emerge from the pandemic heavily indebted, since financial institutions were experiencing a run on credit. Borrowers, preparing for a shutdown in business and potential unemployment, took advantage of low rates to preventively build reserves against the pandemic's financial effects by accessing their credit lines. Suddenly banks were struggling to fund these drawdowns just as "the bank funding market was either closed or dysfunctionally expensive," said Johnson.

At the same time, the federal and provincial government bond markets were experiencing lopsided selling runs, rather than the increased purchases common to the expected "flight to quality." This dysfunction was occurring while the federal government was already running a budget deficit and the provincial governments, which are responsible for public health insurance, were anticipating a severe hit of unknown proportions. The anticipated government spending surge that would be required to mitigate the effects of the pandemic would only push prices up as the governments issued more bonds to fund their response.

"At late March 2020, the world was looking into a very, very dark place," Johnson explained.

> You saw pockets of stress emerge that you might not have seen or expected before. And truly uniquely—well, so far uniquely, at least—it all happened at once. I never thought I'd say this, in hindsight, the GFC [Global Financial Crisis] was a slow-motion

> train wreck that played out over 18 months. You saw things start to happen in 2007. This played out in two weeks. Everything just stopped.

The speed of the lockdowns left no time to prepare. As Johnson remembered, the fast pace of developments dictated a number of the government's early responses:

> As it became apparent, the sort of magnitude of what was hitting, you almost became reactionary in the sense that government bond markets started seizing up and not working. First of all, obviously, there is the interest rate tool, you move to cut interest rates. This is going to be a sizable economic shock. You move to lower interest rates, ultimately to the effective lower bound [ELB].
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> There were severe stresses in the government bond market, so we launched a government bond purchase program to try and alleviate that. And then it became clear that there were severe stresses in provincial funding markets, so we launched programs to address that. Then it became clear that essentially banks were seeing a run on their credit lines. Everyone was coming in maxing out their credit lines, and banks were struggling to fund this, so we rolled out a bank funding program.
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> The other thing that we did—and it was quite coordinated in the sense that the governor, the minister of finance, and the head of OSFI [Office of the Superintendent of Financial Institutions] all made a joint statement—we announced lowering interest rates to the ELB; OSFI announced that they were going to release some capital buffers; and the minister of finance [announced] some fiscal packages. So, the image is very much of the Canadian authorities taking action to support the economy here.

The decision to act aggressively, explained Johnson, was shaped by the experience of the Global Financial Crisis in 2008, when the response was not as forceful early on, and of the European Sovereign Debt Crisis in 2011, when it took European Central Bank President Mario Draghi's "whatever it takes" speech to spark a turnaround. "I certainly think we were all informed by that experience, that: No, not this time. This time we're going to come out swinging," said Johnson.

Don't rely too much on traditional models when deciding on crisis response policies; they were not designed to handle such unique circumstances. Consider a risk-management approach instead.

A global crisis such as the COVID pandemic makes traditional econometric models less useful in predicting how the economy will react to countermeasures, said Johnson. In the early days of COVID, traditional dynamic stochastic general equilibrium (DGSE) models "couldn't really handle this," he said. Instead, the central bank relied on scenario analysis, making broad assumptions about factors including the degree of social distancing, economic activity, and the length and severity of the lockdown. Projecting that over two years resulted in a wide range of possible outcomes, but policymakers agreed that aggressive action was necessary.

He observed:

> I certainly think we're all going to emerge from this, and there's going to be a lot of model development work. But I also think increasingly that there's a recognition that models are useful, they certainly are very informative, but their ability to deal with very large, very unique, very idiosyncratic shocks is pretty limited. In that case, that's when you need, quite frankly, intuition and judgment. You need a broader range of inputs. Our ex-governor used to say this, it becomes more of a risk management exercise than an engineering exercise. Models have this desire to be overly precise. It's like you're engineering a mechanical system, and it's like, "Well, inflation's 2.6 and we want to get it to 2, and we want to do that within six quarters, so here's the precise interest rate path that gets you there."
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> Maybe during normal times, that's a useful tool. I think in times like '08–'09 or COVID, it's more risk management, and it's more, "Look, what are the costs of us being too aggressive? Okay, they're this. What are the costs of us being too timid? Okay, they're that. Which cost do I want to bear, and which cost is it easier to correct?"

Fine-tuning intervention programs can have value but should not be the main concern in addressing a raging crisis. Aggressive action to put out the fire must be the main focus.

Absent the "fog of war" of the pandemic, it's easy to say that the goals of the programs should have been clearer and their time horizons tighter, commented Johnson. Still, he insisted, going big is the right approach when faced with a crisis of the magnitude of the COVID pandemic. However, planning for a crisis should include both upside and downside, he noted.

> We can go back and say: "Look, we can optimize the design a little bit better, sharpen up pricing, make it wind down quicker, give it a shorter fixed time length," but those are minor tactical or operational adjustments to programs that worked. They met their mandate, so to speak, and they're done.
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> One of our deputy governors, Toni Gravelle, gave a speech on this: You worry a little bit about moral hazard, and is there a risk that the market thinks we'll be too quick to jump into the rescue next time? I don't think so. I think people and market participants recognize that a global pandemic is a pretty severe event. Yes, everyone's going to jump in there. I hope people don't extrapolate from that and say, "Oh look, every time there's a bout of illiquidity in the provincial bond market, the Bank of Canada will come in." No, we won't. God willing, we don't have another global pandemic. But shocks of that magnitude, I think certainly warrant a response of that magnitude.

Considering the exit strategies of interventions can be done as part of implementation, but it is not a science nor should it be the main concern.

Once the programs were in place, the trajectory of the crisis, while severe, was not as cataclysmic as initially feared, Johnson said. The Canadian economy endured the shock of the lockdown and showed more resilience than expected, likely because of the government's aggressive intervention. By late 2020, as the first vaccines and initial readings of the economy appeared, the macroeconomic picture appeared less dire, but the bank maintained the programs.

A number of the liquidity programs might have lasted longer than they were needed, Johnson admitted—easy enough to say in retrospect. He commented that several could have been wound down earlier to avoid the risk of inflation. But he pointed out that the bias among policymakers at the time was to do too much, rather than risk doing too little—as in earlier crises, a viewpoint he shared:

> In our case, I honestly believe that absolutely the right choice was made. As I said, you phrase it against the historic context of the fact that a lot of central banks couldn't get off [the] zero [rate] after the GFC. So, the cost of not doing enough is to even further sink your economy into secular stagnation and have another decade of insufficient demand and zero interest rates, and all of the problems that go with that.

In the future, Johnson said, there are a number of possible metrics and mechanisms that policymakers can build into their interventions as guideposts to pull back on some of the liquidity and stimulus programs as an emergency subsides. But no measure is foolproof, and ultimately the focus should remain on doing what is needed to stabilize the situation.

> For some of the market functioning programs, you can use penalty pricing. If an Ontario bond typically trades at 80 basis points over a Government of Canada [bond], we'll say, "Look, we'll purchase them as long as it's trading at 100 over. But once it gets tighter than that, we're out because the market's fine." Or you set some other sort of conditions on market pricing, market liquidity, auction coverage, there's a range of things you can do, and say that these are the indicators you're going to watch. It's a little bit harder on the monetary policy programs. What do you look at to know when to exit QE [quantitative easing]? Well, you look at your inflation forecast. Okay, but what if you get that wrong? Quite frankly, that's what we all did. So, I think we had the right signals for QE to look at, to see when to exit, we just forecast incorrectly, quite frankly.

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